



MARKET RESEARCH

The move-out market

Who runs move-outs for small rental buildings, how much money moves through them, and who else sells into them.

SUMMARY

Move-outs are frequent, costly and more regulated each year, and small managers run them by hand.

01 The customer

Third-party managers of small buildings and scattered homes. No on-site staff; vendors, phone and email do the work.

02 The money

About 8.6M renter moves a year. Direct turn spend is \$8–38B; about \$5.7B in deposits is settled.

03 The competition

Platforms and new AI tools each sell a part of the move-out. The manager still owns the result.

04 The rules

Deposit and move-out rules are tightening in several states, and the FTC opened a rental-fee rulemaking in 2026.

01

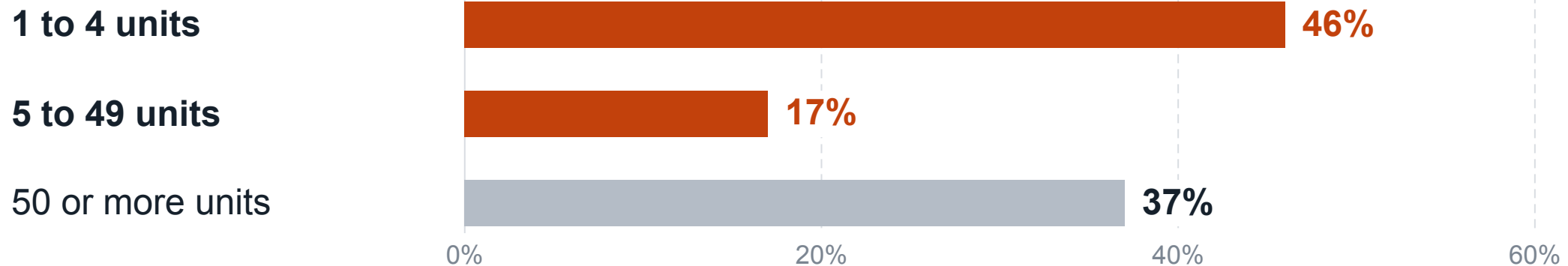
The customer

Who runs move-outs in small rental buildings, and how they work.

WHERE THE UNITS ARE

Almost two thirds of US rental units are in buildings of fewer than 50 units.

Share of US rental units, by size of property



Only 22% of 1–4 unit properties are managed professionally, against 84% of those with 150+ units.

HOW THEY OPERATE

The manager coordinates the move-out; the owner approves and pays.

NO ON-SITE STAFF

Vendors, phone and email do the work.

At one 300-unit property, managing contractors took up to 15 staff hours a week.

ERRORS ARE COMMON

48% of operators are completely confident that turn best practices are always followed.

About half find costly errors daily or weekly.

THE OWNER DECIDES

84% of owners want to approve large repairs first.

Poor communication is the top reason owners switch managers (57%).

“It's all happening in spreadsheets and texts outside the platform.” A manager of about 100 units

MANAGER ECONOMICS

A manager earns about \$9 a unit a month, so the owner pays for the move-out.

6%

average adjusted profit margin of a management firm

\$1,809

revenue per managed unit a year

~\$9

profit per unit a month

25%

of owners leave their manager each year

A \$150–400 turn tool at 30% turnover costs \$45 to \$120 per unit a year: up to a manager's whole profit.

02

The money

How often units turn over, what a turn costs, and what moves at the settlement.

FREQUENCY AND COST

About 8.6 million renter households move each year, and a move-out costs about \$1,800.

46.8M

renter-occupied
homes, Q2 2026

18.3%

of renter households
moved in 2024

8.6M

renter moves a year

\$1,800

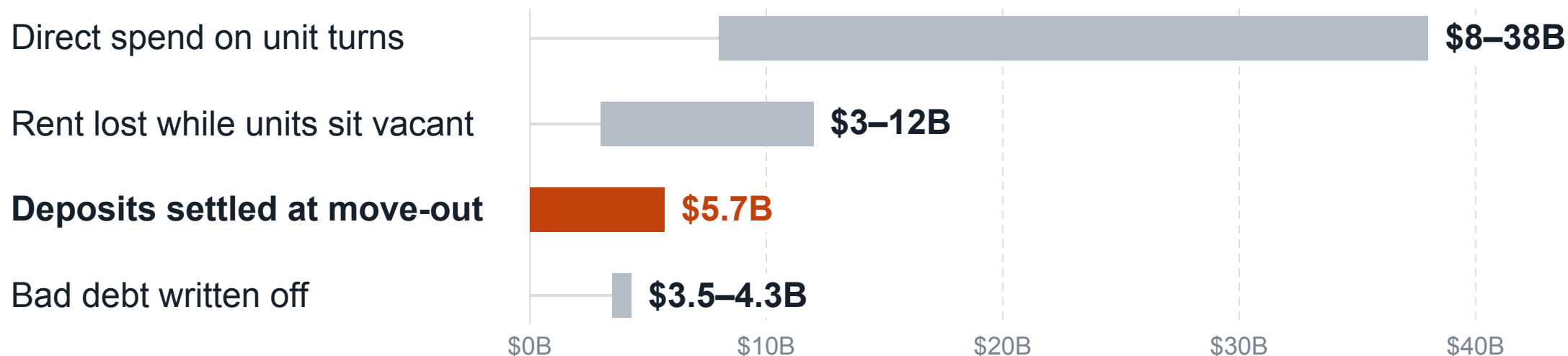
NAA's conservative
cost of one move-out

NAA reports seven working days as a typical make-ready guideline, with targets of three to five.

ANNUAL FLOWS

Turn spend is the largest pool. Deposits are smaller, but settle on a legal clock.

US annual pools, \$ billions



■ No one publishes a national turn-cost series, so the turn ranges are wide.

WHERE THE VALUE SITS

The turn is the larger spend. The settlement is where deadlines and evidence decide the money.

THE TURN

Larger and crowded

Cost. \$957 to \$4,480 of direct cost per turn.

Value. Vacant days saved: about \$55 a day at a \$1,687 rent.

Competition. Platforms ship make-ready boards and maintenance agents.

THE SETTLEMENT

Smaller, with hard rules

Deadline. 14 days in New York, with forfeiture on a miss.

Evidence. 52% of renters took no move-in photos (2021 vendor survey).

Recovery. Agencies recover 15–20% of what is owed and keep 20–40% of that.

RECOVERY

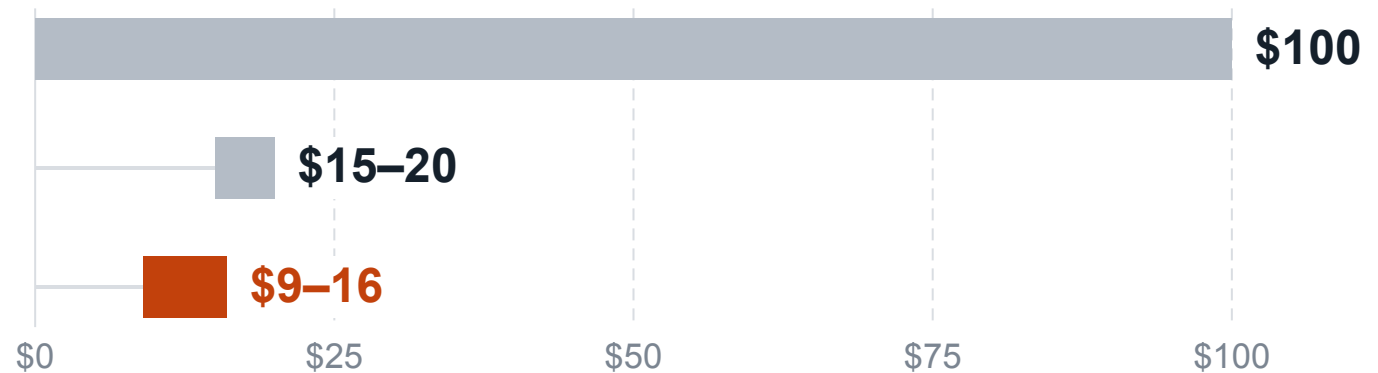
A dollar settled at move-out is worth several dollars chased later.

Of \$100 owed by a former tenant

Owed at move-out

Recovered by a collection agency

Left after the agency's fee



| NAA advises sending balances to collection within 30 days of move-out.

03

The competition

Who sells into the move-out today,
and how those companies end.

COMPETITORS

Platforms and new AI tools each sell a part of the move-out.

COMPANY	WHAT IT SELLS	PART
Obligo	Deposit Agent inside Yardi, RealPage, AppFolio and Buildium (2026)	Settlement
AppFolio	Realm-X agents for leasing and maintenance (June 2025)	Turn
Entrata	Make-ready boards (2025); Colleen AI for former-resident debt (2024)	Turn, balance
TurnOps	AI damage documentation for unit turns	Turn
My AI Front Desk	A move-out assistant from notice to final ledger	Settlement
Vendoroo	An AI maintenance coordinator backed by a human expert	Maintenance

HOW POINT TOOLS END

Point tools in this market end up inside a larger platform.



| Venn says it gives the software away and charges for “agentic outcomes.”

04

Regulation and risks

How the rules around move-outs are changing, and what could break the thesis.

REGULATION

Deposit and move-out rules are tightening at the state, city and federal level.

WHEN	WHERE	WHAT CHANGED
Jul 2019	New York	14-day itemized statement, or the deposit is forfeited
Sep 2024	FTC	\$48M Invitation Homes settlement, including withheld deposits
Jan 2026	Colorado	Keeping 125% of actual damages or more presumed unreasonable
Mar 2026	FTC	Rulemaking on rental fees “from application to moveout.”
Jul 2026	Virginia	Limits on processing and maintenance fees
Sep 2026	Michigan	Refund paid into the tenant's account within 10 days
Jan 2027	New York City	Debt-collection rules reach landlords' own collection

RISKS

Six risks could break the thesis.

The settlement is contested. Obligo's deposit agent already runs inside the major property-management systems.

Per-event dollars are small. The median deposit is \$795, so the price must come from the owner or from recovered charges.

Collection carries legal weight. Recovering a balance brings debt-collection and licensing rules.

Managers may resist transparency. An itemized account can expose markups on vendor work.

Nothing is measured yet. No manager has paid for a completed move-out, so price and results are untested.

Maintenance has more volume. Repairs in occupied units happen more often than move-outs, and tools there are crowded.

| The paid pilot is the first test: whether managers pay per move-out, and how much.